

Product Teardown

Zepto

PM lens on India's 10-minute commerce operating system - market, user journey, unit economics, and product bets.



SHIVAM KUMAR GUPTA

OVERVIEW



1 ABOUT THE COMPANY

Zepto is India's leading 10-minute grocery delivery platform, on a mission to become the operating system for quick commerce in India.



2 BUSINESS MODEL

- Dark Store Network**
High-density urban clusters with 1–3 km delivery radius for speed and efficiency.
- Curated Assortment**
Focus on fresh, daily essentials, snacks and impulse-use items that drive repeat orders.
- Tech-Driven Operations**
Real-time inventory, demand forecasting and route optimization enable 10-minute delivery.
- Multiple Revenue Streams**
Income from product sales, ads, platform fees, direct sourcing and non-grocery categories.



From grocery to everything store
15–20% of q-commerce GMV now comes from categories beyond core grocery: general merchandise, phones, electronics and apparel.

3 COMPETITIVE LANDSCAPE

Scale Markers

\$7B
valuation after Oct 2025 pre-IPO round

\$450M
fresh funding led by CalPERS / General Catalyst

1.7M
daily orders reported by CEO in Oct 2025

1.2K
dark stores in May 2026 broker dataset

FY25: Growth Meets Burn

Total sales more than doubled, but net loss rose faster.



PM Interpretation

- Growth has proof**
Customers are adopting the use-case at daily scale.
- Profitability is local**
Store density, fill rate, rider productivity and basket mix decide margins.
- IPO narrative**
Public market lens will reward contribution margin quality, not just order growth.

4 POSITIONING

Zepto's Position

India's fastest growing q-commerce player with scale, capital and category expansion driving leadership.



Factor	Zepto	Blinkit	Swiggy Instamart	BigBasket NOW
Delivery Promise	10 mins	10 mins	15–20 mins	15–30 mins
Dark Stores	1.2K+	~1K+	~600+	~300+
Core Focus	Speed & Essentials	Scale & Efficiency	Integration & Reach	Reliability & Assortment
Categories	Grocery → Everything	Grocery → Beyond	Grocery → Beyond	Grocery → Beyond
Strategic Edge	Speed, Execution, Focus	Market Leadership & Scale	Ecosystem Leverage	Trust & Assortment Depth



Bottom Line: Zepto combines speed, scale and capital to redefine convenience commerce in India.

USER PERSONA

Understanding our users to deliver 10-minute convenience that fits real lives.

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10-Minute Grocery Delivery



Ria Singh

- 📅 Age: 24
- 👤 Gender: Female
- 📍 Location: Bengaluru
- 💼 Occupation: Marketing Executive

👤 ABOUT THE USER

Ria is a busy working professional living in a metro city. She has a hectic schedule and values speed, convenience, and reliability for her daily needs. Zepto helps her save time and focus on what matters.

🎯 CORE NEEDS & GOALS

- ✅ Get groceries and essentials in 10 minutes
- ✅ Seamless app experience and easy order tracking
- ✅ Reliable delivery time and product quality
- ✅ Discover new products and great offers
- ✅ Manage everyday needs with minimum effort

❗ PAIN POINTS

- ❌ Delays during peak hours or bad weather
- ❌ Occasional out-of-stock for common items
- ❌ Wants more sustainable packaging options
- ❌ Price sensitivity on frequently purchased items



Aryan Roy

- 📅 Age: 28
- 👤 Gender: Male
- 📍 Location: Mumbai
- 💼 Occupation: Software Engineer

👤 ABOUT THE USER

Aryan is a tech-savvy professional with a fast-paced lifestyle. He orders on Zepto for quick meals, snacks, and household essentials, especially during late hours or busy workdays.

🎯 CORE NEEDS & GOALS

- ✅ Quick delivery, even for last-minute needs
- ✅ Wide variety of products to choose from
- ✅ Smooth payments and hassle-free returns
- ✅ Best value through offers and loyalty benefits
- ✅ Late-night availability whenever needed

❗ PAIN POINTS

- ❌ Surge pricing during high demand times
- ❌ App sometimes shows long delivery times
- ❌ Limited availability of premium/unique products
- ❌ Wants better customer support response time



Prashant Seth

- 📅 Age: 38
- 👤 Gender: Male
- 📍 Location: Delhi
- 💼 Occupation: Small Business Owner

👤 ABOUT THE USER

Prashant runs a small business and relies on Zepto for bulk ordering of groceries and store essentials. He needs a dependable partner that saves him time and keeps his business running smoothly.

🎯 CORE NEEDS & GOALS

- ✅ Bulk ordering with reliable and timely delivery
- ✅ Competitive pricing and good margins
- ✅ Consistent product availability
- ✅ Easy order management for business needs
- ✅ Dependable support for business queries

❗ PAIN POINTS

- ❌ Minimum order value barriers sometimes
- ❌ Limited credit/payment flexibility
- ❌ Stock shortages for high-demand items
- ❌ Needs business-specific offers and discounts



Whether it's saving time, running a business, or taking care of daily needs,
Zepto is built for **speed, convenience, and trust.**



10-Minute
Delivery



Hyperlocal
Network



Quality You
Can Trust



Value & Offers
That Delight

USER JOURNEY

From Search to Doorstep in Under 10 Minutes

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Every second of this journey is engineered. The 76-second pick time is a hard operational KPI, not an average.



Riders are pre-positioned near dark stores before orders arrive, eliminating dispatch lag.

KEY PRODUCT FEATURES THAT POWER THE JOURNEY



Zepto Pass

Subscription offering free delivery and exclusive deals — driving higher order frequency and loyalty.



Zepto Cafe

Hot food and coffee vertical — expanding basket size and daypart usage.



Zepto Atom

B2B analytics SaaS — powering operational data with trends and insights for faster decisions.

THE USER JOURNEY & ECOSYSTEM INTEGRATION



T=0:00

Search & Add to Cart

User searches products and adds to cart seamlessly.



T=0:45

Checkout (UPI / COD)

Quick and secure checkout with multiple payment options.



76-second guaranteed pick from the nearest dark store using Zepto Atom insights.

Dark store pick completed.
Rider on standby dispatched.

T=2:01



T=10:00

Delivery completed.

Order delivered to the customer's doorstep in under 10 minutes.



India's fastest grocery delivery platform, driven by speed, technology and customer obsession.



10-Minute Delivery



Dark Store Network



Data-Driven Operations



Customer First Always

Key metrics & Learning



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KEY LEARNINGS



1 Growth is proven, but profitability is the real test

Zepto has achieved strong revenue scale, with FY24 revenue around **₹4,454 Cr**, more than doubling year-on-year. However, losses remain high, so the next phase depends on improving contribution margin, store-level profitability, and reducing burn.



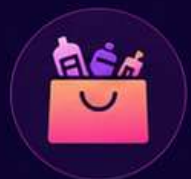
2 Dark stores are the operating backbone

The quick-commerce model works because of dense urban demand, nearby dark stores, fast picking, and pre-positioned riders. Store profitability timelines improving from **23 months to around 8 months** shows better operational maturity.



3 Customer behavior supports repeat usage

Quick commerce is becoming a habit-led category. High order frequency, emergency use cases, snacks, daily essentials, and convenience-driven baskets make Zepto more than just a grocery app.



4 Zepto is moving from grocery delivery to a convenience platform

The business is expanding beyond core grocery into categories like café, electronics, personal care, and impulse commerce. Around **15–20%** of q-commerce GMV coming from non-grocery categories signals a bigger “everything store” opportunity.



SLIDE BOTTOM LINE

Zepto's core learning: the company has already proven demand and speed-led customer adoption. The next strategic challenge is converting scale into sustainable profitability through **better dark store economics, higher basket size, category expansion, and disciplined burn control.**

KEY METRICS

METRIC	VALUE	WHAT IT MEANS
 FY24 Revenue	₹4,454 Cr	Revenue more than doubled YoY, proving strong demand.
 Loss as % of Revenue	~28%	Improved from ~63%, showing a visible path toward operating leverage.
 FY25 Sales	₹9,669 Cr	Continued growth momentum, but with higher losses.
 FY25 Net Loss	₹3,367 Cr	Growth is still expensive due to expansion, discounts, and competition.
 Monthly Users	10M+	Large consumer base with growing transaction frequency.
 Average Order Value	₹400–₹500	Healthy basket size for grocery-led quick commerce.
 Order Frequency	3–4x/week	Strong habit formation among metro users.
 Funding Raised	\$450M	Pre-IPO capital supports dark store expansion and market share growth.
 Valuation	\$7B	Strong investor confidence in Zepto's q-commerce opportunity.
 Dark Store Profitability	23 months → 8 months	Unit economics are improving with scale and operational efficiency.



SOURCES

FY24 revenue and loss improvement are reported by [Financial Express](#) and [Entrackr](#); the \$450M funding and \$7B valuation were reported by [Economic Times](#) and [Fortune India](#).

PRODUCT GAPS: WHERE ZEPTO IS STILL EXPOSED



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10-Minute Grocery Delivery

Despite impressive growth, Zepto faces structural and product-level vulnerabilities that could limit its path to sustainable profitability.



1

Fragile Unit Economics at Scale

Losses widened to **₹3,367 Cr in FY24**. Absolute losses are growing even as margins improve — scale is amplifying both revenue and burn.



2

Tier-2 City Expansion Risk

Density-dependent dark-store economics are **untested in lower-density markets**. Order frequency and AOV may not support the model outside metros.



3

Fragmented Zepto Cafe UX

Cafe launched on a **separate app in Dec 2024** — creating friction and diluting the super-app narrative. Users must context-switch.



4

No Loyalty Gamification

Beyond Zepto Pass, there is **no points system, streaks, or social mechanics** to deepen emotional engagement and reduce churn.



5

Over-Reliance on Discounting

User retention is heavily subsidized. **Price-sensitive cohorts** may churn when promotions normalize — a loyalty debt waiting to come due.

KEY RECOMMENDATIONS: FIVE LEVERS TO PULL NEXT

A focused set of strategic levers to close product gaps, strengthen unit economics, and build a unified ecosystem for long-term leadership.

1



Unified Super-App

Merge Zepto Cafe, Grocery, and Atom into a **single seamless surface**. Eliminate the fragmented app experience and increase cross-vertical discovery.

2



AI-Personalized Storefronts

Surface the **top 20 items per user** based on purchase patterns and time-of-day signals. Reduce browse time, increase conversion, and reinforce habit loops.

3



Social & Group Ordering

Enable **split-basket functionality** for flatmates and families. Social ordering increases AOV, reduces per-user delivery cost, and drives viral acquisition.

4



Subscription Tier 2: "Zepto Plus"

Bundle Cafe + Grocery into a **premium subscription tier** with exclusive perks. Increase LTV and reduce reliance on transactional discounting for retention.

5



Dark Store as Fulfillment API

White-label the dark-store network as a **B2B fulfillment API for D2C** brands. Monetize excess capacity and create a high-margin SaaS revenue layer independent of consumer GMV.



THE WAY FORWARD: Unify the experience. Personalize every screen. Make ordering social. Build subscription muscle. Unlock dark stores as a platform. This is how Zepto **scales profitably**.

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THE FUTURE PLAYBOOK: EVOLVING FROM APP TO UNIFIED ECOSYSTEM

